Conference Call Notes: US Election Update

送信者: EG United States 受信日時: 2026-11-05 06:07

【メール原文】

This is an AI-generated summary based on the call transcript. A full transcript and recording of this call are available in the portal . You can acces

Conference Call Note
Customize Email Preferences

US Election Update

4 Nov 2026 16:05 EST Listen to the recording
Short-term trajectory:
Long-term trajectory:

*
Democrats decisively outperformed expectations, winning an estimated 54-56 Senate seats and a House majority of more than 20 seats, signaling a broader coalition shift that weakens President Donald Trump’s political standing and fractures his 2024 voter base.
*
Congressional leverage over Trump is rising but remains limited, as Democrats cannot override vetoes but can use funding deadlines, especially 11 December, to press their positions on Iran, Ukraine, and domestic spending.
*
The 2028 field in both parties is now wide open, with Trump’s coalition fractured, Vice President JD Vance weakened, and moderate Democrats from swing states, particularly Senator Jon Ossoff and Governor Josh Shapiro, emerging as early frontrunners.

This is an AI-generated summary based on the call transcript. A full transcript and recording of this call are available in the portal . You can access other Eurasia Group conference calls through a personalized link for select podcast readers here .

Eurasia Group has published a number of recent pieces on the policy implications of the midterm elections. You can find those here.

*
Frequently asked questions about the midterms, 4 November 2026
*
Blue wave makes Trump a lame duck , 4 November 2026
*
Trump’s executive actions and legacy building will dominate post-midterms , 2 June 2026
*
Democrats would use majority to reset terms of AI debate , 19 October 2026
*

Democratic midterm sweep would bring limited changes in policy direction , 20 October 2026

*

Republicans’ lame duck priorities won’t fly , 13 October 2026

Speakers:

*

Clayton Allen, Practice Head, United States

*

Heather West, Practice Head, Geo-Technology

*

Noah Daponte-Smith, Senior Analyst, United States

The Scale of the Democratic Sweep

Democrats are on track for 54–56 Senate seats, and a House majority of over 30 seats. Both results exceed our expectations for a Democratic victory. Democratic Senate candidates won by roughly 20 points in North Carolina and Georgia, and James Talarico won Texas by 12 points. Democrats also flipped the Texas governorship.

The breadth of the swing matters as much as the headline numbers. Demographic data shows movement toward Democrats across every subgroup — education, gender, geography, and race. Most notably, Hispanic voters, among whom Trump made his largest 2024 gains, swung approximately 30 points toward Democrats. Young voters, another group that had shifted toward Trump in 2024, also swung back by a larger margin than Democrats had won them in the 2016–2022 period.

What This Does — and Doesn't — Do to Trump's Authority

A unified Democratic Congress does not hand Democrats the ability to override Trump. The two-thirds Senate threshold for removing a president remains out of reach, and the same holds for overriding vetoes on trade and executive authorities.

Where Democrats gain real leverage is government funding. The December 11 deadline is the first pressure point. Republicans still control both chambers through year-end, but Democrats can use their incoming majority to condition future funding — including a defense supplemental estimated at $50–100 billion — on policy concessions. The debt ceiling, by contrast, is expected to be raised without significant brinksmanship: Trump wants it raised, and Democratic leadership has not shown the appetite to risk a technical default that Republican caucuses have shown in the past.

Iran, Ukraine, and the Funding Clock

Midterm results do not immediately change Eurasia Group's base case for escalation against Iran in the next six to eight weeks (see The US will likely strike Iran in mid-November , 27 October 2026). The political disincentive for Trump to act aggressively has diminished now that Republicans have lost their majorities. A War Powers Resolution — which has already passed individually in both chambers — could eventually become a political constraint, though it would not constitute a legal block without a veto-proof majority.

On Ukraine, congressional leverage to push for expanded and formalized support for Kyiv is growing. The near-term expectation is that Trump continues his diplomatic engagement with Russia ahead of the

G20 summit in Miami in mid-December and does not reverse course. Over the medium term, a Democratic Congress represents a net positive for Ukraine. This is an issue where the GOP has broken with Trump, and there is potential to condition defense funding on continued U.S. support.

Data Centers and AI Regulation

Texas holds approximately one-third of proposed U.S. data center build-out. The election of a governor who supports a moratorium in Gina Hinojosa — and similar positioning by governors in Georgia and Ohio — signals a broader shift toward conditionality on data center development at the state level. Eurasia Group does not expect a massive slowdown or widespread project cancellations, but anticipates more conditions and a moderately slower pace. (See Electoral losses for data centers will have moderate impact on buildout , 4 November 2026.)

On AI regulation, Democrats are expected to pursue oversight aggressively — the presumptive House Oversight chair has already signaled as much — while simultaneously developing policy frameworks (see Democrats would use majority to reset terms of AI debate , 19 October 2026). Maria Cantwell, the likely Senate Commerce Committee chair, will bring an existing, relatively developed AI policy framework. The direction of travel is toward additional regulation, but moderated by the geographic diversity of the new Democratic majority and leadership's ability to isolate the progressive flank.

The 2028 Landscape

Trump's political brand is damaged. His coalition — built on voters who were not traditional Republicans — has fractured, and that fracture is most visible in Southern states where Republicans have historically been strongest.

Republican field: J.D. Vance is weakened; his path runs through a MAGA base that has shrunk. Marco Rubio is better positioned but faces a choice: align with Trump and attempt to rebuild his coalition, or differentiate and claim credit for the popular elements of the administration's foreign policy while distancing from Iran. A strict reading of the Hatch Act would require Rubio to resign as Secretary of State before the end of 2027 to appear on primary ballots. Ron DeSantis is seen as actively positioning in a non-Trump lane. The field is now genuinely open, with potential for lesser-known candidates to emerge.

Democratic field: Jon Ossoff — who substantially outran his polls and effectively turned Georgia into a Democratic-leaning state — is flagged as an early frontrunner with significant momentum, and with a Democratic victory in Georgia’s gubernatorial race, he does not have to worry about being replaced by a Republican in the Senate should he resign to become president. Josh Shapiro also performed strongly. Gavin Newsom is described as somewhat out of step with a party trending younger and anti-incumbent. The party currently lacks a unifying national leader; Hakeem Jeffries as likely Speaker does not fill that role.

Key Watch Items

1.
December 11 government funding deadline — First real test of congressional leverage over Trump; watch for Ukraine and Iran funding conditions attached to any continuing resolution or defense supplemental.
2.

Iran escalation window — Eurasia Group maintains its base case for escalation in the next six to eight weeks; a separate call is scheduled to address the longer-term outlook.
3.
Republican Senate fractures — Whether moderate Republicans (Murkowski, Collins, Tillis) break with Trump on Ukraine funding or other issues before leaving the Senate.
4.
Supreme Court retirements — Most likely scenario is no retirements in the lame-duck period; watch for movement from Thomas or Alito, and note that Sherrod Brown's early seating reduces the functional Republican majority to 52 on December 15.
5.
Cabinet and sub-Cabinet attrition — No major Cabinet departures expected immediately, but watch for hollowing out at the deputy assistant secretary level as political operatives reassess career incentives.

What Clients Are Asking

Filibuster elimination risk: Clients wanted to know whether Democrats would move to eliminate the filibuster. Speakers assessed this as unlikely in the current Congress — it makes little strategic sense while Trump holds veto power, and the moderates on whom the Senate majority depends are unlikely to support it. Possible after 2028 if Democrats hold the Senate and win the presidency.

Shutdown risk and government funding path: With the December 11 deadline approaching under Republican control, speakers expect elevated shutdown risk driven by internal GOP division over Ukraine. A short, non-market-disrupting shutdown is possible; a continuing resolution extending into 2027 under a Democratic majority is the most likely scenario for the bulk of government operations.

Impeachment — of the president and Cabinet officials: Removing Trump from office is assessed as effectively off the table given the two-thirds Senate threshold. However, impeachment of Cabinet officials — specifically Defense Secretary Pete Hegseth, Commerce Secretary Howard Lutnick, and FBI Director Kash Patel — is expected to be a Democratic priority, functioning primarily as political pressure rather than a viable removal mechanism.

Congressional investigations and corporate exposure: Clients asked about which sectors face the most serious investigatory risk. Speakers highlighted big tech, rare earths companies with equity ties to the Trump administration, and pharmaceutical firms that made most-favored-nation (MFN) pricing deals with the administration. Financial services firms were also flagged as likely targets.

U.S.-Canada trade and tariff negotiations: Speakers assessed that hopes for a pre-midterm deal on auto and steel tariffs with Canada are now dashed, and a deal is unlikely before year-end. A U.S.-Mexico deal on autos and steel is somewhat more likely. The Canada deal is expected to drag into mid-2027, with Carney now having additional political rationale to hold out.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

Clayton Allen
Practice Head, United States
+1 202.903.0027

allen@eurasiagroup.net
Heather West
Practice Head, Geo-technology
west@eurasiagroup.net
Noah Daponte-Smith
Senior Analyst, United States
daponte-smith@eurasiagroup.net
EG United States
unitedstates@eurasiagroup.net

Now on iOS and Android
Get the Eurasia Group app
Read anywhere · Receive notifications · Reach out to analysts
App Store
Google Play

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.
X-HG-DocID cmw2llhxoya2m07myvrq12brd

Opt Out | Customize Email Preferences